Advantest Corporation

6857.T | Tokyo Stock Exchange Prime | 2026-10-11

Q4 2027 model ceiling: JPY 36,345.53

Analytical Base 45/60 = 75 | Chokepoint with competitive and capacity risks

20x fully expensed IFRS forward-four-quarter operating profit, with end-window ordinary shares and the lower matched cash-redemption or full-conversion valuation bound.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in JPY million and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: JPY 41,610.00 per share (2026-10-09 15:30 Asia/Tokyo regular close); 723.966 million common shares (2026-06-30); estimated equity capitalization JPY 30,124,245.6 million. October 9 Matsui quote; June issuer shares: 732m issued less 8.033510m treasury. Latest reported common shares, not an assumed October count. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: no positive modeled upside at the dated 2026-10-09 15:30 Asia/Tokyo regular close price of JPY 41,610.00, so the Upside Driver split is unavailable.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	1,313,590.7	20x	728.994	36,345.53

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Consolidated Advantest; SoC testers, memory testers, other systems and services; one Tokyo ordinary share. 20x fully expensed IFRS forward-four-quarter operating profit, with end-window ordinary shares and the lower matched cash-redemption or full-conversion valuation bound.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use JPY million unless a different unit is stated.

Thesis

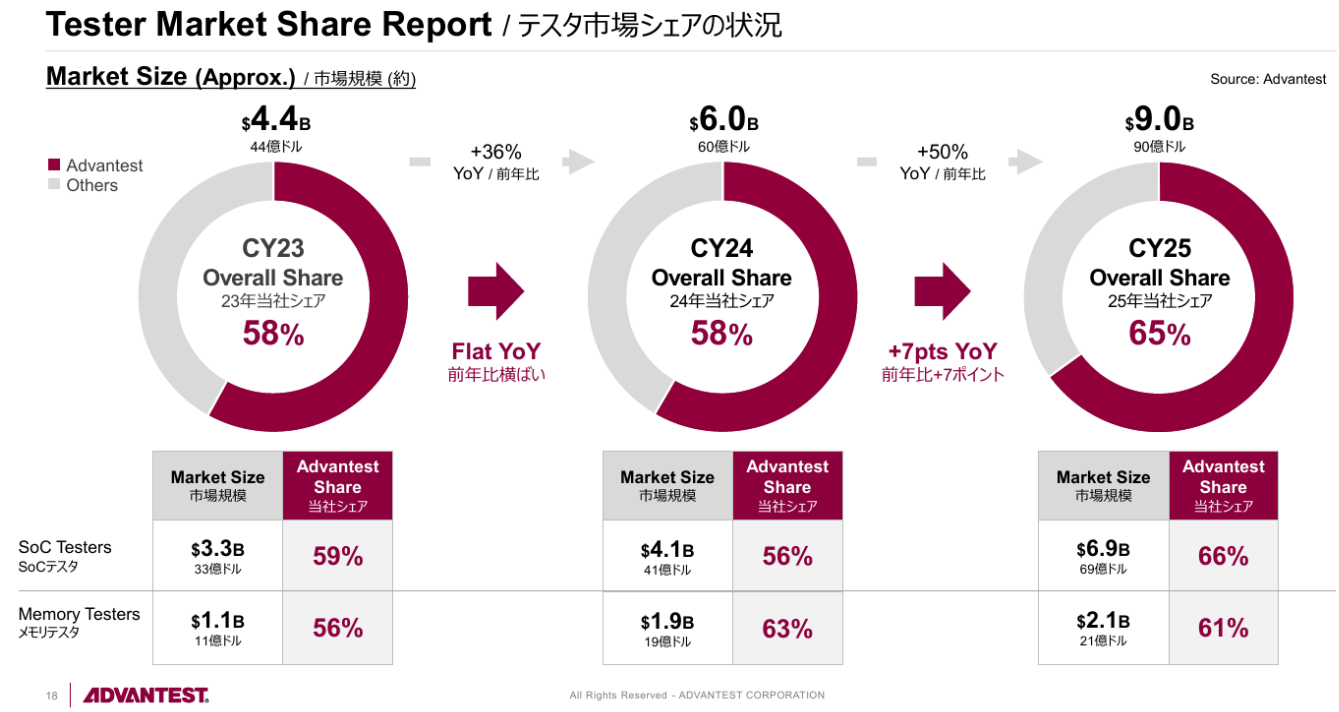
Advantest sells the equipment that determines whether an expensive chip actually works. More accelerator chips help, but longer tests, more test insertions and richer system configurations can matter just as much. The durable advantage is the qualified V93000 platform and its software, measurement resources and partner ecosystem. The temporary advantage is the ability to supply systems while customers are expanding rapidly. Those are related advantages, not two separate revenue streams.

This is a consolidated, fully expensed operating-profit model for one Tokyo-listed ordinary share, in yen. The analytical Base is 75, or 45/60. The company is covered; no personal holding is implied. The October 9 regular close was ¥41,610. The Q4 2027 ceiling is ¥36,345.53 at 20x forward-four-quarter operating profit. The strong business case does not automatically provide attractive upside at that price.

Investment question and classification

Advantest is a competitive chokepoint, with real alternatives rather than a monopoly. A customer needs stable measurements, appropriate power and signal resources, tested programs, interfaces and support. Replacing a qualified platform is costly when the chip and packaging roadmap is moving quickly. That provides pricing and retention power beyond a single product generation. Teradyne and other suppliers still compete, and customers can qualify additional vendors to secure capacity.

The near-term thesis is growth in accepted testing capacity and test content. It is not a thesis that the market must assign a higher multiple. At the stated price and active horizon, the owner's Upside Driver calculation is unavailable because the modeled forward ceiling is below today's price. Calling this “100% Growth” would incorrectly imply positive upside. If price or targets change, the sequential calculation must be run again using the first displayed Q4 2026 target and Q4 2027 active target, with no Base weighting.



Advantest issuer financial briefing, April 27, 2026 | April 27 deck, PDF page 18: issuer CY2025 market share estimates, 66% SoC and 61% memory. The remarks round memory share to about 60%.

What the latest management records establish

The latest published results are July 29, covering April through June 2026. Calendar Q3 results are scheduled for October 28 and are not actuals yet. Advantest calls the year ending March 2027 FY2026; this artifact uses calendar quarters. Confusing those two calendars would shift the entire ramp by one year.

April-June revenue was ¥367.473B, gross profit ¥255.553B and operating profit ¥189.990B. The operating bridge is gross profit less ¥66.247B selling and administrative expense, including R&D, plus ¥0.796B other operating income less ¥0.112B other operating expense. Net income was ¥174.780B, but financial income included a ¥41.075B investment-related valuation gain. That gain is not manufacturing or testing profit and is excluded from this valuation basis.

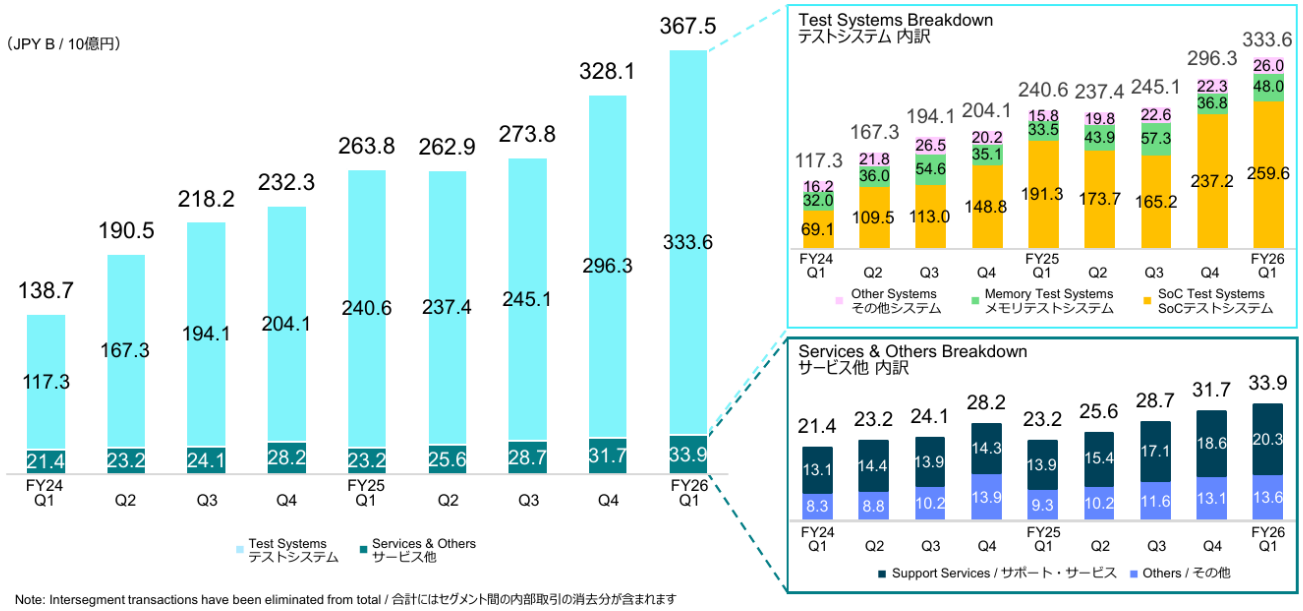
July guidance increased full fiscal-year revenue to ¥1.714T and operating profit to ¥846B. First-half guidance was ¥802B revenue and ¥414.5B operating profit. Subtracting the reported first quarter gives the calendar Q3 bridge of ¥434.527B revenue and ¥224.510B operating profit. The remaining October-March guidance is ¥912B revenue and ¥431.5B operating profit. The model allocates that half evenly between calendar Q4 2026 and Q1 2027. The allocation is an assumption; management has not guided each of those two quarters individually.

Fiscal-year product revenue guidance comprises ¥1,243.5B SoC testers, ¥227B memory testers, ¥104.5B other systems and ¥139B services/other. These reconcile to ¥1.714T. The parts of SoC, memory, interfaces and service must not be counted a second time as “AI” revenue. The guide already anticipates demand from inference ASICs, CPUs and DRAM.

The July Q&A says customer planning conversations now extend about 18 months, compared with approximately six months historically. Those conversations support capacity planning; they are not binding backlog. Management is pulling forward capacity above 5,000 SoC systems annually toward 10,000 systems by late 2028

or early 2029. A later step toward 15,000 is under evaluation, not a committed project. The model does not assume that next step happens.

Quarterly Sales by Segment / 四半期売上高 事業セグメント別



Note: Intersegment transactions have been eliminated from total / 合計にはセグメント間の内部取引の消去分が含まれます

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Advantest issuer financial briefing, July 29, 2026 | July 29 deck, PDF page 6: SoC, memory, other systems and service revenues; segments must not be added twice.

FY26 Forecast / FY26業績予想

(JPY B / 10億円)	FY25 Results 実績	FY26 Forecast 予想 Q1 Results 実績	Q2	1H 上期	2H 下期	FY	vs. FY25 Change 増減額	(%)	Forecast as of April 4月時点予想	Change 修正額
Sales / 売上高	1,128.6	367.5	434.5	802.0	912.0	1,714.0	+585.4	+51.9%	1,420.0	+294.0
Operating Income / 営業利益	499.1	190.0	224.5	414.5	431.5	846.0	+346.9	+69.5%	627.5	+218.5
Operating Margin / 営業利益率	44.2%	51.7%	51.7%	51.7%	47.3%	49.4%	+5.2pts		44.2%	+5.2pts
Income Before Tax / 税引前利益	516.7	234.1	224.9	459.0	432.0	891.0	+374.3	+72.4%	629.0	+262.0
Net Income / 当期利益	375.4	174.8	163.2	338.0	322.0	660.0	+284.6	+75.8%	465.5	+194.5
Net Income Margin / 当期利益率	33.3%	47.6%	37.6%	42.1%	35.3%	38.5%	+5.2pts		32.8%	+5.7pts
Basic EPS (JPY) / 基本的一株当たり利益(円) *1	515.15	241.27	225.45	466.87	444.77	911.64	+396.49	+77.0%	641.61	+270.03
R&D Expenses / 研究開発費	78.1	21.5	28.5	50.0	60.0	110.0	+31.9	+40.8%	100.0	+10.0
Capital Expenditure / 設備投資	34.3	11.0	11.2	22.2	27.8	50.0	+15.7	+45.8%	45.0	+5.0
Depreciation & Amortization / 減価償却費	25.6	7.2	7.5	14.7	16.3	31.0	+5.4	+21.1%	29.5	+1.5
Exchange Rate (JPY) *2 為替レート(円) 1 US$ 1米ドル	150	159	150	154	150	152	JPY 2 Depreciation 2円 円安		150	JPY 2 Depreciation 2円 円安
1 Euro 1ユーロ	173	185	170	177	170	174	JPY 1 Depreciation 1円 円安		170	JPY 4 Depreciation 4円 円安

*1: Basic earnings per share in forecast is calculated deeming the average number of outstanding shares as the number of issued and outstanding shares as of June 30th, 2026 excluding the number of treasury shares as of June 30th, 2026 / 予想における「基本的EPS」は、2026年6月30日現在の「期末発行済株式数(自己株式を含む)」から「期末自己株式数」を除いた株式数を、期中平均株式数とみなして算定しております

*2: Our latest forecast for the impact of exchange rate fluctuations on FY26 operating income is plus JPY 5.3 billion per 1 yen of JPY depreciation vs USD, and minus JPY 0.4 billion per 1 yen of JPY depreciation vs. the Euro
為替レート変動がFY26の営業利益に与える影響の最新見通しは、対米ドルが1円安時+53億円です。対ユーロは-4億円です

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Advantest issuer financial briefing, July 29, 2026 | July 29 deck, PDF page 13: fiscal year ends March 2027, with JPY 1.714T revenue and JPY 846B operating profit guidance.

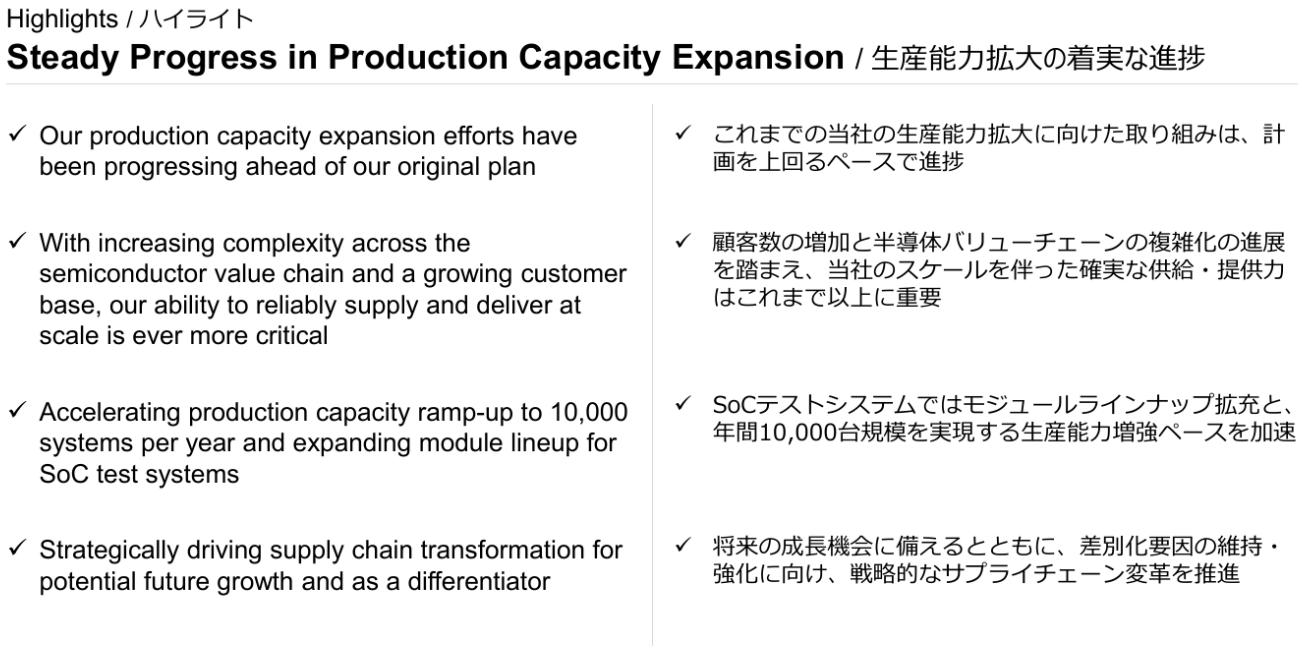
Capacity, test intensity and a useful unit proxy

Annual physical shipment counts and configuration prices are not disclosed. The model therefore exposes a SoC revenue-equivalent proxy: 6,000 equivalents at ¥240M in 2027; 8,000 at ¥255M in 2028; 9,500 at ¥270M in 2029; and 10,000 at ¥285M in 2030. These are analytical units, including the economic value of modules and upgrades, not reported tester shipments. They are calibrated against the fiscal-year SoC revenue guide and the announced capacity trajectory. They should be replaced if reliable shipment and configuration data become available.

The proxy is bounded by planned capacity rather than extrapolated from the whole semiconductor capex market. It includes richer configurations as chips require more measurement resources. A 10,000-system modern capacity plan is described by management as equivalent to roughly 20,000 systems at a 2020 configuration. That statement does not mean Advantest will manufacture 20,000 modern systems; doubling both capacity and price on that basis would double count test content.

Reference annual revenue outside SoC is ¥300B/¥375B/¥430B/¥485B for memory testers, ¥130B/¥160B/¥185B/¥210B for other systems, and ¥170B/¥205B/¥240B/¥280B for services/other over 2027-2030. Memory expands with HBM and DRAM, but NAND incumbency and product transitions can reduce near-term share. Service expands with the installed base, but the model does not treat all past systems as new system sales.

Reference gross margins are 70% for SoC, 57% for memory, 50% for other systems and 52% for services. Those product margins are modeling assumptions, not issuer disclosures. Consolidated ordinary operating costs rise from ¥340B in 2027 to ¥570B in 2030, including R&D, support, administration and share compensation. Both depreciation and stock compensation stay in operating profit. The July quarter's inventory-obsolescence reversal is not assumed to recur. The model's consolidated margins stay below simply extrapolating the unusually strong 69.5% reported gross margin forever.



Advantest issuer financial briefing, April 27, 2026 | April 27 deck, PDF page 15: accelerating supply toward 10,000 SoC systems; buffers do not equal accepted shipments.

Incremental evidence and overlap

The reference already includes most of the announced capacity expansion, AI demand and richer test content. Rule 16b therefore applies to incremental delivery timing and pricing above that reference, not the entire announced market.

- Earlier accepted capacity: 45% probability. Start with 300/800/600/0 additional SoC revenue equivalents for 2027-2030, remove 50% for overlap, then apply the corresponding configuration prices. The conditional revenue contribution is ¥36B/¥102B/¥81B/zero. At 70% gross margin and 10% incremental operating expense, the operating contribution is 60% of that incremental revenue. The benefit ends once the reference catches up in 2030. The plausible probability range is 25-65%. - New-order pricing after incremental costs: 50% probability of a 3% premium on 30% of eligible SoC revenue, reduced 50% for overlap with richer configurations already modeled. Existing fixed-price orders are excluded. Of the small extra invoice value, 45% is reserved for component inflation, 10% for incremental operating support, and 45% becomes operating profit. This is a bounded estimate of partial value capture; it is not a disclosed company price increase. Management explicitly discussed evaluating pass-through of memory cost inflation. - Delay and competitive loss: 25% probability that 10% of reference SoC revenue misses the intended period or is lost. The model loses 70% gross contribution and recovers 10% variable operating expense. Packaging constraints, acceptance delays and dual-sourcing are one combined branch, not three correlated demand shocks. No automatic later recovery is credited.

The weighted branches produce slightly less 2027 revenue than the reference. Credible forward evidence does not require every adjustment to be positive. The resulting calendar 2027-2030 revenue is approximately ¥2.031T, ¥2.779T, ¥3.398T and ¥3.760T; fully expensed operating profit is approximately ¥987B, ¥1.407T, ¥1.734T and ¥1.912T. Exact quarterly arithmetic is retained in the linked model.

Photonics, inference and adjacent markets

The April Q&A reports a first large high-volume ATE order for silicon photonics. Management expected the emerging activity to more than double in the following year and again after that, but explicitly said the market was too young to define its TAM. The absolute starting revenue is unknown. It would be misleading to multiply a small unidentified base into a large separately valued segment. A bounded proxy attempt is included within the broader SoC configuration and accepted-capacity opportunity; a second standalone photonics increment is zero because it would overlap that modeled revenue and lacks a defensible starting invoice boundary.

The June 23 OpenLight announcement is a testing partnership, not an acquisition of OpenLight. It supports technical qualification and ecosystem relevance, but contains no disclosed revenue award. SiConic is a validation software/product initiative, not automatically acquired sales. CPU wafer-sort testing can be demanding while final-test requirements differ from accelerators; counting every CPU at a GPU test intensity would overstate the opportunity.

AI datacenters provide the current demand. Physical AI, vehicles, industrial automation and other increasingly complex semiconductors can extend the installed platform into adjacent applications. Their relevance earns a TAM score; they do not receive an extra revenue multiple on top of the same tester shipments. Optical interfaces may create new electro-optical insertions, but accepted applications and test times determine the actual company opportunity.

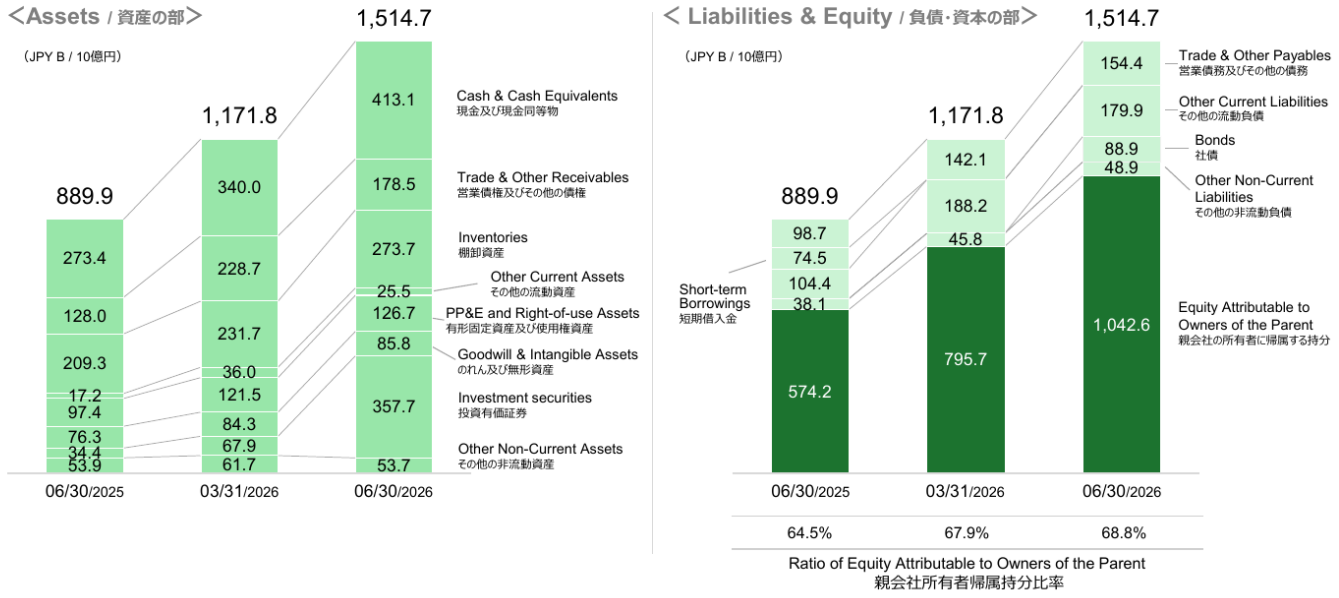
Cash, ordinary shares and convertible claims

June issued shares were 732M, including 8.033510M treasury shares, leaving 723.966490M common shares. That latest reported count produces a dated indicative common market capitalization of ¥30.125T at the October 9 price; it is not a statement that no later shares were bought back. The model adds 0.25M ordinary shares per quarter for net compensation dilution and assumes no future buyback benefit. June weighted-average shares and diluted EPS shares are different measures and are not substituted for ending common shares.

June cash was ¥413.124B. Strategic investment securities of ¥357.737B are not cash; neither their carrying value nor future gains receive credit. The claims bridge reserves ¥150B operating liquidity, ¥19.236B lease liabilities and ¥20.021B retirement liabilities. The ¥100B convertible is carried at ¥88.930B under accounting, but the cash-redemption case uses its ¥100B face amount. That gives net claims of minus ¥123.867B, meaning surplus cash exceeds these deductions. This is a fixed balance-sheet bridge; future accumulated operating cash is not added to targets as a second source of valuation upside.

The April-issued zero-coupon note matures March 28, 2031, with a ¥36,000 initial conversion price and two-stage exercise restrictions. Full conversion adds 2.777778M shares and removes the ¥100B principal claim. The fully converted net claims become minus ¥223.867B. For each target window the model uses the lower of the matched cash-redemption and full-conversion valuations. It never adds conversion shares while retaining the same principal debt. The selected schedule is a conservative valuation bound, not a prediction of when the legal exercise conditions are met. Sensitivity runs with fixed selected financing inputs are not a complete alternative funding simulation; the matching choice should be recomputed if assumptions cross the conversion boundary.

All eight operating branch combinations were checked for funding. The cash simulation begins with actual June cash, deducts 30% of incremental quarterly revenue for working capital, taxes positive operating profit at 30%, adds modeled depreciation, funds annual capex rising to ¥120B and assumes ¥60B annual dividends. It does not assume future debt proceeds or a liquidation of strategic investments. The lowest modeled quarter-end cash is approximately ¥527B, above the ¥150B operating reserve. The 2031 principal maturity falls after the modeled operating period but remains a valuation claim or matched conversion dilution throughout.



Advantest issuer financial briefing, July 29, 2026 | July 29 deck, PDF page 10: cash and strategic securities are different assets; the model does not treat the investment portfolio as operating cash.

Valuation, timing and reverse expectations

Each displayed target uses that calendar quarter plus the next three quarters of fully expensed operating profit, multiplied by 20, less matched claims and divided by the end-of-window share count. A Q4 2027 target therefore values Q4 2027 through Q3 2028; it is not a fiscal 2027 P/E or a calendar 2027 annual target. The selected multiple is the adopted framework method for a newly covered company, not a multiple taken from an analyst target.

The active target is approximately ¥36,346 versus ¥41,610, about 0.87x the price. This remains a strong operational growth thesis with insufficient modeled valuation support at that observed price. At the same share/claims bridge, supporting ¥41,610 would require roughly 14.6% more forward operating profit than the active model, or a higher valuation multiple. Those are reverse expectations, not additional evidence and not a reason to force the target upward.

Risk map, falsifiers and next checks

- Customer and capital-cycle concentration: a small number of accelerator and memory spending plans can move demand quickly. Watch accepted revenue versus the longer planning conversations. - Competitive and qualification risk: more suppliers, altered test strategies and faster throughput can reduce Advantest revenue per chip. Track SoC and memory share separately. - Supply execution: a nominal 10,000-system plan is not saleable output. Components, manufacturing partners, calibration, delivery and customer acceptance must all work. - Cost and currency pressure: testers consume substantial DRAM; not every cost increase is recoverable. Yen strength or an unfavorable euro move can reduce reported margins. July guidance estimates ¥5.3B annual operating sensitivity to one yen of USD/JPY, and negative ¥0.4B to one yen of EUR/JPY, with other conditions fixed. - Export, operational and cyber risk: China is around one-fifth of ship-to revenue, not necessarily end-customer ownership. Restrictions and operational disruption can change accepted shipments. The February cyber incident is not assumed to have zero future relevance.

October 28 results are the nearest hard checkpoint: revenue against the July Q3 guide, normal gross margin after the inventory reversal, capacity timing and memory share. Through 2027, the model needs qualified supply above 5,000 systems, successful delivery and a realistic configuration mix. By late 2028/early 2029, reaching the 10,000-system program without a large deterioration in utilization or margins matters more than another optimistic market-size forecast.

Source treatment and open evidence

The primary record includes both July 29 and April 27 financial statements, decks, prepared remarks and issuer-edited Q&A summaries. All 42 deck pages were inspected; the selected exhibits were rechecked individually. These are edited management records, not a claim to possess an unedited full call recording. The latest Japanese issuer materials and Japanese market quote were used alongside the English translations. The financial model separates actuals, guidance-derived allocations and estimates. The source manifest retains original URLs, dates and file hashes.

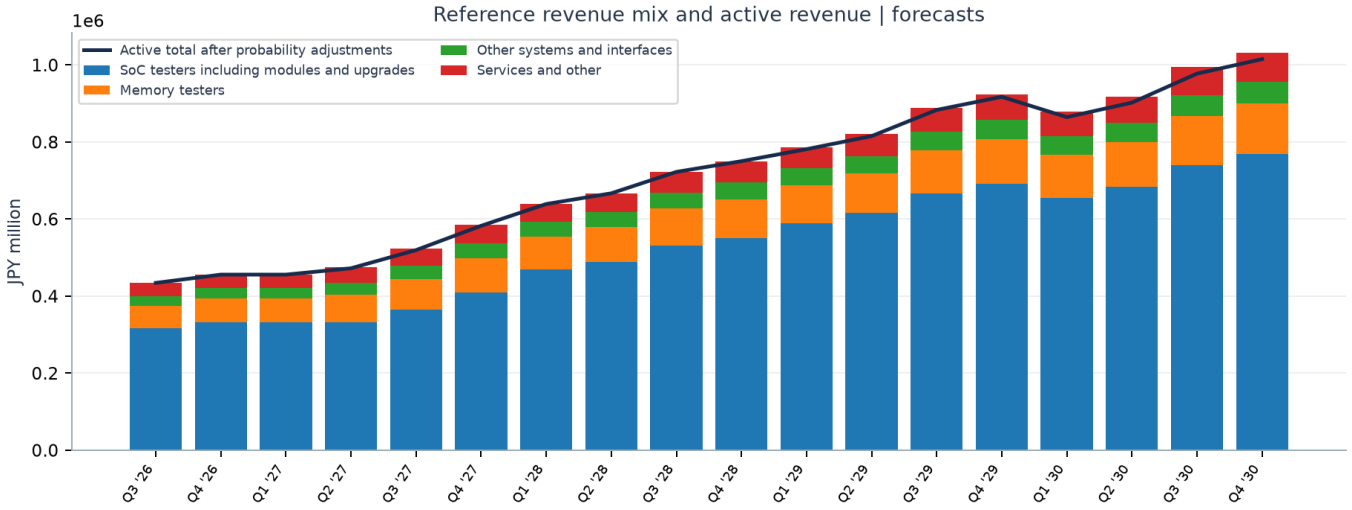
Remaining gaps are invoice-level ASPs, actual tester shipments, product gross margins, customer-specific optical allocations and a fully specified future conversion exercise path. They are addressed through visible proxies and bounds, rather than fabricated precision. No analyst price target or consensus EPS is imported into the operating model.

Root funding review also deducts ¥1.25bn quarterly lease cash, rising 5% annually, anchored by the latest ¥1.196bn quarterly payment and ¥4.982bn prior-year total. An additional ¥1bn quarterly pension cash stress is an analytical allowance, not a disclosed contribution schedule. These costs reduce funding headroom but do not change the fixed June net-claims valuation. All eight operating combinations remain above the ¥150bn reserve. The final common-share valuation remains the lower matched financing case; scenario controls with a fixed selected case must be rebuilt when crossing a conversion boundary.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	18	V93000 ecosystem, test programs and qualified customer processes create switching costs across device generations, but Teradyne and other vendors compete.
Cycle	9	AI testing demand is expanding now; 18-month planning visibility and accelerated supply support a multi-year ramp.
TAM	9	Compute, HBM, optical I/O and higher test content; physical AI extends the existing electronics test primitive. No separate unbounded robotics revenue.
Catalysts	4	October 28 earnings; FY2026 capacity above 5,000 systems; accepted photonics production orders and capacity expansion through 2028.
Macro	8	AI infrastructure investment is supportive; semiconductor cycles, currencies and export restrictions matter.
Alpha	2	Primary Japanese/English reconciliation and exclusion of financial valuation gains are useful, but the stock is widely researched.
Risk classes	-5	Five distinct deductions: customer/capex concentration; competitor and dual-source share pressure; supplier/ramp execution; memory-cost and currency margin pressure; export and cyber/operational risk.
Total	45/60	Rounded Base 75. Both artifact and new workbook row use this score; this is not a manual override.

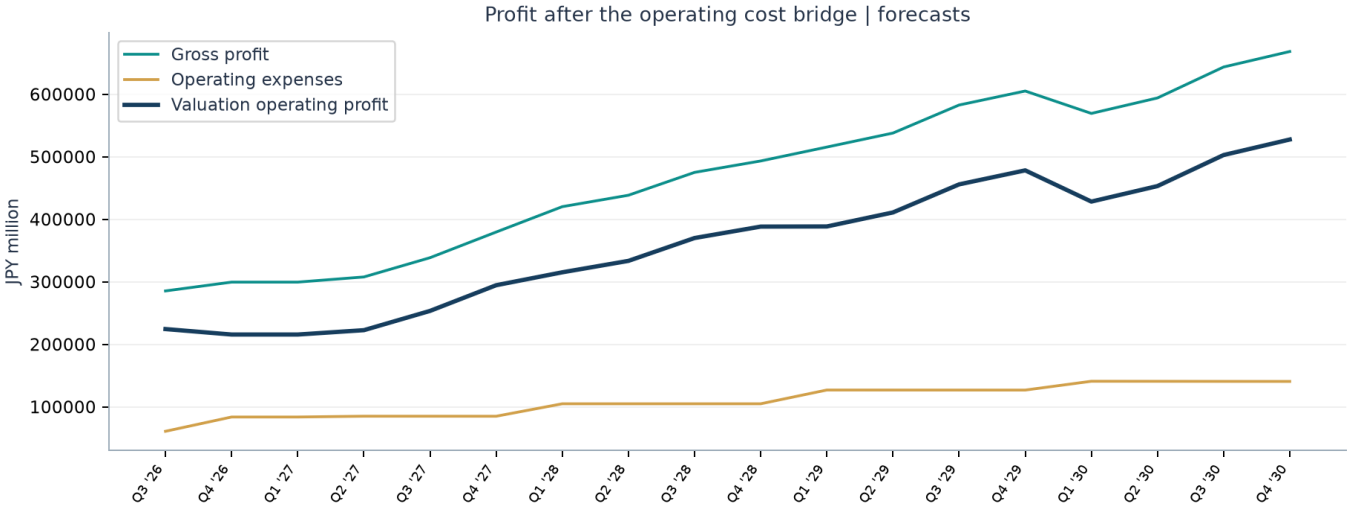
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	434,527.0	0.0	434,527.0
Q4 2026	456,000.0	0.0	456,000.0
Q1 2027	456,000.0	0.0	456,000.0
Q2 2027	475,200.0	-2,693.9	472,506.1
Q3 2027	522,720.0	-2,963.3	519,756.7
Q4 2027	586,080.0	-3,322.5	582,757.5
Q1 2028	639,400.0	-117.3	639,282.7
Q2 2028	667,200.0	-122.4	667,077.6
Q3 2028	722,800.0	-132.6	722,667.4
Q4 2028	750,600.0	-137.7	750,462.3
Q1 2029	786,600.0	-5,037.9	781,562.1
Q2 2029	820,800.0	-5,256.9	815,543.1
Q3 2029	889,200.0	-5,695.0	883,505.0
Q4 2029	923,400.0	-5,914.0	917,486.0
Q1 2030	879,750.0	-14,912.6	864,837.4
Q2 2030	918,000.0	-15,561.0	902,439.0
Q3 2030	994,500.0	-16,857.8	977,642.2
Q4 2030	1,032,750.0	-17,506.1	1,015,243.9

Gross profit, operating expenses and earnings

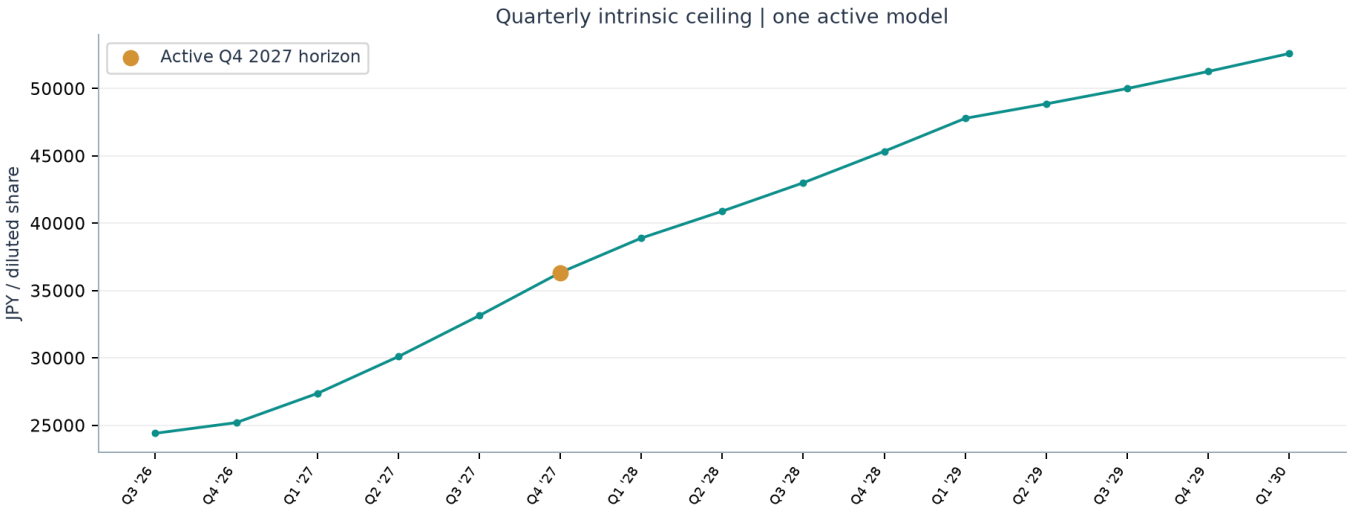


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Issuer FY2026 guidance bridge; segment and H2 quarter allocation are assumptions, not reported actuals	434,527.0	285,486.5	60,976.5	224,510.0	51.7%
Q4 2026 / Issuer FY2026 guidance bridge; segment and H2 quarter allocation are assumptions, not reported actuals	456,000.0	299,594.4	83,844.4	215,750.0	47.3%
Q1 2027 / Issuer FY2026 guidance bridge; segment and H2 quarter allocation are assumptions, not reported actuals	456,000.0	299,594.4	83,844.4	215,750.0	47.3%
Q2 2027 / Analytical forecast; not issuer guidance	472,506.1	307,843.9	85,115.8	222,728.1	47.1%
Q3 2027 / Analytical forecast; not issuer guidance	519,756.7	338,628.3	85,088.9	253,539.4	48.8%
Q4 2027 / Analytical forecast; not issuer guidance	582,757.5	379,674.1	85,053.0	294,621.2	50.6%
Q1 2028 / Analytical forecast; not issuer guidance	639,282.7	420,280.0	104,988.3	315,291.8	49.3%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q2 2028 / Analytical forecast; not issuer guidance	667,077.6	438,553.1	104,987.8	333,565.3	50.0%
Q3 2028 / Analytical forecast; not issuer guidance	722,667.4	475,099.2	104,986.7	370,112.4	51.2%
Q4 2028 / Analytical forecast; not issuer guidance	750,462.3	493,372.2	104,986.2	388,386.0	51.8%
Q1 2029 / Analytical forecast; not issuer guidance	781,562.1	515,591.4	126,996.2	388,595.2	49.7%
Q2 2029 / Analytical forecast; not issuer guidance	815,543.1	538,008.4	126,974.3	411,034.1	50.4%
Q3 2029 / Analytical forecast; not issuer guidance	883,505.0	582,842.4	126,930.5	455,911.9	51.6%
Q4 2029 / Analytical forecast; not issuer guidance	917,486.0	605,259.5	126,908.6	478,350.9	52.1%
Q1 2030 / Analytical forecast; not issuer guidance	864,837.4	569,411.4	141,008.7	428,402.7	49.5%
Q2 2030 / Analytical forecast; not issuer guidance	902,439.0	594,168.4	140,943.9	453,224.5	50.2%
Q3 2030 / Analytical forecast; not issuer guidance	977,642.2	643,682.5	140,814.2	502,868.3	51.4%
Q4 2030 / Analytical forecast; not issuer guidance	1,015,243.9	668,439.5	140,749.4	527,690.1	52.0%

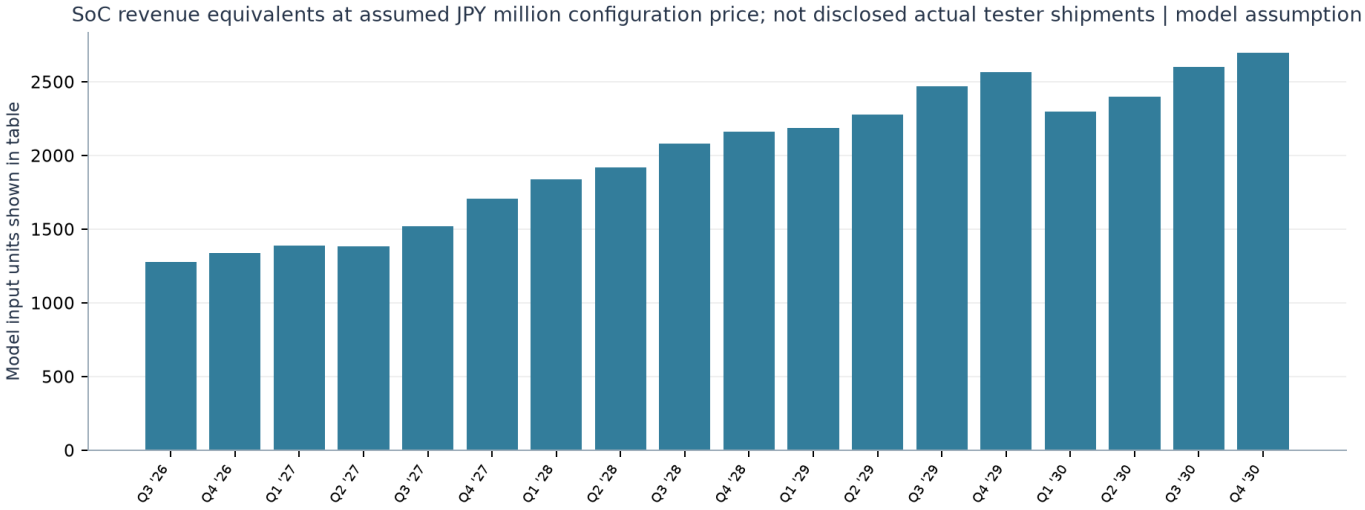
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	878,738.1	20x	724.966	24,413.03
Q4 2026	Q4 2026 to Q3 2027	907,767.4	20x	725.216	25,205.18
Q1 2027	Q1 2027 to Q4 2027	986,638.6	20x	725.466	27,370.86
Q2 2027	Q2 2027 to Q1 2028	1,086,180.4	20x	725.716	30,104.70
Q3 2027	Q3 2027 to Q2 2028	1,197,017.6	20x	725.966	33,147.84
Q4 2027	Q4 2027 to Q3 2028	1,313,590.7	20x	728.994	36,345.53
Q1 2028	Q1 2028 to Q4 2028	1,407,355.5	20x	729.244	38,904.63
Q2 2028	Q2 2028 to Q1 2029	1,480,658.9	20x	729.494	40,901.00
Q3 2028	Q3 2028 to Q2 2029	1,558,127.7	20x	729.744	43,010.16
Q4 2028	Q4 2028 to Q3 2029	1,643,927.2	20x	729.994	45,346.12
Q1 2029	Q1 2029 to Q4 2029	1,733,892.1	20x	730.244	47,794.57
Q2 2029	Q2 2029 to Q1 2030	1,773,699.6	20x	730.494	48,868.09
Q3 2029	Q3 2029 to Q2 2030	1,815,890.0	20x	730.744	50,006.10
Q4 2029	Q4 2029 to Q3 2030	1,862,846.4	20x	730.994	51,273.72
Q1 2030	Q1 2030 to Q4 2030	1,912,185.6	20x	731.244	52,605.65

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	SoC revenue equivalents at assumed JPY million configuration price; not disclosed actual tester shipments	Status
Q3 2026	1,276.665	Issuer FY2026 guidance bridge; segment and H2 quarter allocation are assumptions, not reported actuals
Q4 2026	1,339.754	Issuer FY2026 guidance bridge; segment and H2 quarter allocation are assumptions, not reported actuals
Q1 2027	1,388.320	Issuer FY2026 guidance bridge; segment and H2 quarter allocation are assumptions, not reported actuals
Q2 2027	1,383.504	Analytical forecast; not issuer guidance
Q3 2027	1,521.854	Analytical forecast; not issuer guidance
Q4 2027	1,706.322	Analytical forecast; not issuer guidance
Q1 2028	1,840.000	Analytical forecast; not issuer guidance
Q2 2028	1,920.000	Analytical forecast; not issuer guidance
Q3 2028	2,080.000	Analytical forecast; not issuer guidance
Q4 2028	2,160.000	Analytical forecast; not issuer guidance
Q1 2029	2,185.000	Analytical forecast; not issuer guidance
Q2 2029	2,280.000	Analytical forecast; not issuer guidance
Q3 2029	2,470.000	Analytical forecast; not issuer guidance
Q4 2029	2,565.000	Analytical forecast; not issuer guidance
Q1 2030	2,300.000	Analytical forecast; not issuer guidance

Quarter	SoC revenue equivalents at assumed JPY million configuration price; not disclosed actual tester shipments	Status
Q2 2030	2,400.000	Analytical forecast; not issuer guidance
Q3 2030	2,600.000	Analytical forecast; not issuer guidance
Q4 2030	2,700.000	Analytical forecast; not issuer guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	SoC testers including modules and upgrades	317,506.5	70.0%	222,254.6
Q3 2026	Memory testers	57,763.7	57.0%	32,925.3
Q3 2026	Other systems and interfaces	25,344.4	50.0%	12,672.2
Q3 2026	Services and other	33,912.4	52.0%	17,634.5
Q4 2026	SoC testers including modules and upgrades	333,196.7	70.0%	233,237.7
Q4 2026	Memory testers	60,618.2	57.0%	34,552.4
Q4 2026	Other systems and interfaces	26,596.8	50.0%	13,298.4
Q4 2026	Services and other	35,588.3	52.0%	18,505.9
Q1 2027	SoC testers including modules and upgrades	333,196.7	70.0%	233,237.7
Q1 2027	Memory testers	60,618.2	57.0%	34,552.4
Q1 2027	Other systems and interfaces	26,596.8	50.0%	13,298.4
Q1 2027	Services and other	35,588.3	52.0%	18,505.9
Q2 2027	SoC testers including modules and upgrades	332,041.0	70.0%	232,428.7
Q2 2027	Memory testers	71,814.5	57.0%	40,934.3
Q2 2027	Other systems and interfaces	31,021.0	50.0%	15,510.5
Q2 2027	Services and other	40,323.5	52.0%	20,968.2
Q3 2027	SoC testers including modules and upgrades	365,245.1	70.0%	255,671.6
Q3 2027	Memory testers	78,996.0	57.0%	45,027.7
Q3 2027	Other systems and interfaces	34,123.1	50.0%	17,061.5
Q3 2027	Services and other	44,355.9	52.0%	23,065.1
Q4 2027	SoC testers including modules and upgrades	409,517.2	70.0%	286,662.0
Q4 2027	Memory testers	88,571.3	57.0%	50,485.6
Q4 2027	Other systems and interfaces	38,259.2	50.0%	19,129.6
Q4 2027	Services and other	49,732.3	52.0%	25,860.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2028	SoC testers including modules and upgrades	469,200.0	70.0%	328,440.0
Q1 2028	Memory testers	86,250.0	57.0%	49,162.5
Q1 2028	Other systems and interfaces	36,800.0	50.0%	18,400.0
Q1 2028	Services and other	47,150.0	52.0%	24,518.0
Q2 2028	SoC testers including modules and upgrades	489,600.0	70.0%	342,720.0
Q2 2028	Memory testers	90,000.0	57.0%	51,300.0
Q2 2028	Other systems and interfaces	38,400.0	50.0%	19,200.0
Q2 2028	Services and other	49,200.0	52.0%	25,584.0
Q3 2028	SoC testers including modules and upgrades	530,400.0	70.0%	371,280.0
Q3 2028	Memory testers	97,500.0	57.0%	55,575.0
Q3 2028	Other systems and interfaces	41,600.0	50.0%	20,800.0
Q3 2028	Services and other	53,300.0	52.0%	27,716.0
Q4 2028	SoC testers including modules and upgrades	550,800.0	70.0%	385,560.0
Q4 2028	Memory testers	101,250.0	57.0%	57,712.5
Q4 2028	Other systems and interfaces	43,200.0	50.0%	21,600.0
Q4 2028	Services and other	55,350.0	52.0%	28,782.0
Q1 2029	SoC testers including modules and upgrades	589,950.0	70.0%	412,965.0
Q1 2029	Memory testers	98,900.0	57.0%	56,373.0
Q1 2029	Other systems and interfaces	42,550.0	50.0%	21,275.0
Q1 2029	Services and other	55,200.0	52.0%	28,704.0
Q2 2029	SoC testers including modules and upgrades	615,600.0	70.0%	430,920.0
Q2 2029	Memory testers	103,200.0	57.0%	58,824.0
Q2 2029	Other systems and interfaces	44,400.0	50.0%	22,200.0
Q2 2029	Services and other	57,600.0	52.0%	29,952.0
Q3 2029	SoC testers including modules and upgrades	666,900.0	70.0%	466,830.0
Q3 2029	Memory testers	111,800.0	57.0%	63,726.0
Q3 2029	Other systems and interfaces	48,100.0	50.0%	24,050.0
Q3 2029	Services and other	62,400.0	52.0%	32,448.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2029	SoC testers including modules and upgrades	692,550.0	70.0%	484,785.0
Q4 2029	Memory testers	116,100.0	57.0%	66,177.0
Q4 2029	Other systems and interfaces	49,950.0	50.0%	24,975.0
Q4 2029	Services and other	64,800.0	52.0%	33,696.0
Q1 2030	SoC testers including modules and upgrades	655,500.0	70.0%	458,850.0
Q1 2030	Memory testers	111,550.0	57.0%	63,583.5
Q1 2030	Other systems and interfaces	48,300.0	50.0%	24,150.0
Q1 2030	Services and other	64,400.0	52.0%	33,488.0
Q2 2030	SoC testers including modules and upgrades	684,000.0	70.0%	478,800.0
Q2 2030	Memory testers	116,400.0	57.0%	66,348.0
Q2 2030	Other systems and interfaces	50,400.0	50.0%	25,200.0
Q2 2030	Services and other	67,200.0	52.0%	34,944.0
Q3 2030	SoC testers including modules and upgrades	741,000.0	70.0%	518,700.0
Q3 2030	Memory testers	126,100.0	57.0%	71,877.0
Q3 2030	Other systems and interfaces	54,600.0	50.0%	27,300.0
Q3 2030	Services and other	72,800.0	52.0%	37,856.0
Q4 2030	SoC testers including modules and upgrades	769,500.0	70.0%	538,650.0
Q4 2030	Memory testers	130,950.0	57.0%	74,641.5
Q4 2030	Other systems and interfaces	56,700.0	50.0%	28,350.0
Q4 2030	Services and other	75,600.0	52.0%	39,312.0

Operating-cost derivation

Quarter	Fully expensed research and development	Selling, administration and other operating costs, including SBC
Q3 2026	28,500.0	32,476.5
Q4 2026	30,000.0	53,844.4
Q1 2027	30,000.0	53,844.4
Q2 2027	34,154.1	51,231.1
Q3 2027	34,154.1	51,231.1
Q4 2027	34,154.1	51,231.1
Q1 2028	42,000.0	63,000.0
Q2 2028	42,000.0	63,000.0
Q3 2028	42,000.0	63,000.0
Q4 2028	42,000.0	63,000.0
Q1 2029	51,000.0	76,500.0
Q2 2029	51,000.0	76,500.0
Q3 2029	51,000.0	76,500.0
Q4 2029	51,000.0	76,500.0
Q1 2030	57,000.0	85,500.0
Q2 2030	57,000.0	85,500.0
Q3 2030	57,000.0	85,500.0
Q4 2030	57,000.0	85,500.0

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	EARLIER ACCEPTED CAPACITY	45%	0.0	0.0	0.0	0.0
Q3 2026	NEW ORDER PRICING AFTER COST	50%	0.0	0.0	0.0	0.0
Q3 2026	DELAY AND SHARE RISK	25%	0.0	0.0	0.0	0.0
Q4 2026	EARLIER ACCEPTED CAPACITY	45%	0.0	0.0	0.0	0.0
Q4 2026	NEW ORDER PRICING AFTER COST	50%	0.0	0.0	0.0	0.0
Q4 2026	DELAY AND SHARE RISK	25%	0.0	0.0	0.0	0.0
Q1 2027	EARLIER ACCEPTED CAPACITY	45%	0.0	0.0	0.0	0.0
Q1 2027	NEW ORDER PRICING AFTER COST	50%	0.0	0.0	0.0	0.0
Q1 2027	DELAY AND SHARE RISK	25%	0.0	0.0	0.0	0.0
Q2 2027	EARLIER ACCEPTED CAPACITY	45%	10,800.0	7,560.0	1,080.0	2,916.0
Q2 2027	NEW ORDER PRICING AFTER COST	50%	1,494.2	821.8	149.4	336.2
Q2 2027	DELAY AND SHARE RISK	25%	-33,204.1	-23,242.9	-3,320.4	-4,980.6
Q3 2027	EARLIER ACCEPTED CAPACITY	45%	11,880.0	8,316.0	1,188.0	3,207.6
Q3 2027	NEW ORDER PRICING AFTER COST	50%	1,643.6	904.0	164.4	369.8
Q3 2027	DELAY AND SHARE RISK	25%	-36,524.5	-25,567.2	-3,652.5	-5,478.7
Q4 2027	EARLIER ACCEPTED CAPACITY	45%	13,320.0	9,324.0	1,332.0	3,596.4
Q4 2027	NEW ORDER PRICING AFTER COST	50%	1,842.8	1,013.6	184.3	414.6
Q4 2027	DELAY AND SHARE RISK	25%	-40,951.7	-28,666.2	-4,095.2	-6,142.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2028	EARLIER ACCEPTED CAPACITY	45%	23,460.0	16,422.0	2,346.0	6,334.2
Q1 2028	NEW ORDER PRICING AFTER COST	50%	2,111.4	1,161.3	211.1	475.1
Q1 2028	DELAY AND SHARE RISK	25%	-46,920.0	-32,844.0	-4,692.0	-7,038.0
Q2 2028	EARLIER ACCEPTED CAPACITY	45%	24,480.0	17,136.0	2,448.0	6,609.6
Q2 2028	NEW ORDER PRICING AFTER COST	50%	2,203.2	1,211.8	220.3	495.7
Q2 2028	DELAY AND SHARE RISK	25%	-48,960.0	-34,272.0	-4,896.0	-7,344.0
Q3 2028	EARLIER ACCEPTED CAPACITY	45%	26,520.0	18,564.0	2,652.0	7,160.4
Q3 2028	NEW ORDER PRICING AFTER COST	50%	2,386.8	1,312.7	238.7	537.0
Q3 2028	DELAY AND SHARE RISK	25%	-53,040.0	-37,128.0	-5,304.0	-7,956.0
Q4 2028	EARLIER ACCEPTED CAPACITY	45%	27,540.0	19,278.0	2,754.0	7,435.8
Q4 2028	NEW ORDER PRICING AFTER COST	50%	2,478.6	1,363.2	247.9	557.7
Q4 2028	DELAY AND SHARE RISK	25%	-55,080.0	-38,556.0	-5,508.0	-8,262.0
Q1 2029	EARLIER ACCEPTED CAPACITY	45%	18,630.0	13,041.0	1,863.0	5,030.1
Q1 2029	NEW ORDER PRICING AFTER COST	50%	2,654.8	1,460.1	265.5	597.3
Q1 2029	DELAY AND SHARE RISK	25%	-58,995.0	-41,296.5	-5,899.5	-8,849.2
Q2 2029	EARLIER ACCEPTED CAPACITY	45%	19,440.0	13,608.0	1,944.0	5,248.8
Q2 2029	NEW ORDER PRICING AFTER COST	50%	2,770.2	1,523.6	277.0	623.3
Q2 2029	DELAY AND SHARE RISK	25%	-61,560.0	-43,092.0	-6,156.0	-9,234.0
Q3 2029	EARLIER ACCEPTED CAPACITY	45%	21,060.0	14,742.0	2,106.0	5,686.2
Q3 2029	NEW ORDER PRICING AFTER COST	50%	3,001.0	1,650.6	300.1	675.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2029	DELAY AND SHARE RISK	25%	-66,690.0	-46,683.0	-6,669.0	-10,003.5
Q4 2029	EARLIER ACCEPTED CAPACITY	45%	21,870.0	15,309.0	2,187.0	5,904.9
Q4 2029	NEW ORDER PRICING AFTER COST	50%	3,116.5	1,714.1	311.6	701.2
Q4 2029	DELAY AND SHARE RISK	25%	-69,255.0	-48,478.5	-6,925.5	-10,388.2
Q1 2030	EARLIER ACCEPTED CAPACITY	45%	0.0	0.0	0.0	0.0
Q1 2030	NEW ORDER PRICING AFTER COST	50%	2,949.8	1,622.4	295.0	663.7
Q1 2030	DELAY AND SHARE RISK	25%	-65,550.0	-45,885.0	-6,555.0	-9,832.5
Q2 2030	EARLIER ACCEPTED CAPACITY	45%	0.0	0.0	0.0	0.0
Q2 2030	NEW ORDER PRICING AFTER COST	50%	3,078.0	1,692.9	307.8	692.6
Q2 2030	DELAY AND SHARE RISK	25%	-68,400.0	-47,880.0	-6,840.0	-10,260.0
Q3 2030	EARLIER ACCEPTED CAPACITY	45%	0.0	0.0	0.0	0.0
Q3 2030	NEW ORDER PRICING AFTER COST	50%	3,334.5	1,834.0	333.5	750.3
Q3 2030	DELAY AND SHARE RISK	25%	-74,100.0	-51,870.0	-7,410.0	-11,115.0
Q4 2030	EARLIER ACCEPTED CAPACITY	45%	0.0	0.0	0.0	0.0
Q4 2030	NEW ORDER PRICING AFTER COST	50%	3,462.8	1,904.5	346.3	779.1
Q4 2030	DELAY AND SHARE RISK	25%	-76,950.0	-53,865.0	-7,695.0	-11,542.5

Enterprise-to-equity reconciliation

20x fully expensed IFRS forward-four-quarter operating profit, with end-window ordinary shares and the lower matched cash-redemption or full-conversion valuation bound.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	-123,867.0	0.0	-123,867.0	24,413.03
Q4 2026	Q3 2027	-123,867.0	0.0	-123,867.0	25,205.18
Q1 2027	Q4 2027	-123,867.0	0.0	-123,867.0	27,370.86
Q2 2027	Q1 2028	-123,867.0	0.0	-123,867.0	30,104.70
Q3 2027	Q2 2028	-123,867.0	0.0	-123,867.0	33,147.84
Q4 2027	Q3 2028	-223,867.0	0.0	-223,867.0	36,345.53
Q1 2028	Q4 2028	-223,867.0	0.0	-223,867.0	38,904.63
Q2 2028	Q1 2029	-223,867.0	0.0	-223,867.0	40,901.00
Q3 2028	Q2 2029	-223,867.0	0.0	-223,867.0	43,010.16
Q4 2028	Q3 2029	-223,867.0	0.0	-223,867.0	45,346.12
Q1 2029	Q4 2029	-223,867.0	0.0	-223,867.0	47,794.57
Q2 2029	Q1 2030	-223,867.0	0.0	-223,867.0	48,868.09
Q3 2029	Q2 2030	-223,867.0	0.0	-223,867.0	50,006.10
Q4 2029	Q3 2030	-223,867.0	0.0	-223,867.0	51,273.72
Q1 2030	Q4 2030	-223,867.0	0.0	-223,867.0	52,605.65

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

EARLIER_ACCEPTED_CAPACITY

probability: 0.45

Conditional: Net 150/400/300/0 additional SoC system revenue equivalents in CY2027/28/29/30 after 50% overlap removal; JPY 240/255/270/285m per equivalent.

bounds: Gross opportunity 300/800/600/0 equivalents; probability 25-65%; delivery timing and realized configurations remain uncertain.

overlap: Reference already reaches 6,000/8,000/9,500/10,000 equivalents. Remove half of incremental opportunity for existing capacity and mix; accelerated timing benefit ends in 2030. No separate TAM or AI chip volume addition.

bridge: 70% gross margin less 10% incremental engineering, selling and service expense = 60% operating contribution.

source: July 29 Q&A 6-8: pulling capacity forward, buffers and 18-month planning conversations.

NEW_ORDER_PRICING_AFTER_COST

probability: 0.5

Conditional: 3% premium on 30% of new or repriceable SoC invoices; 50% overlap adjustment.

bounds: Premium 0-5%, eligible share 20-40%, probability 30-65%.

overlap: Existing booked prices excluded; half removed for richer mix already in reference. Baseline margins assume input inflation; branch reserves 45% of price revenue for incremental components and 10% for operating support.

bridge: 55% incremental GP less 10% operating expense = 45% operating contribution.

source: July Q&A 9: evaluating partial pass-through of memory inflation by customer/application. Premium is a model assumption, not an announced increase.

DELAY_AND_SHARE_RISK

probability: 0.25

Conditional: 10% of modeled SoC revenue misses the intended period or is lost to competitors.

bounds: 5-15% of affected revenue; probability 15-40%.

overlap: One combined acceptance, packaging-capacity and competitive-loss branch; these correlated constraints are not three separate deductions. No automatic catch-up credited.

bridge: 70% lost GP offset by 10% avoidable operating expense = 60% negative contribution.

source: April Q&A 6 and July Q&A 6-8; qualification, supply availability, customer timing and alternative vendors.

Remaining bounded uncertainties

- Actual quarterly tester unit shipments, configuration ASP and product gross margins are not disclosed; revenue equivalents are bounded analytical proxies.

- Convertible terms specify two-stage exercise restrictions. Full conversion is a valuation bound, not a claim that exercise is currently allowed or certain.

- September-quarter results are not published as of October 11; October 28 is the scheduled earnings release. Q3 2026 is therefore guidance-derived, not an actual.

- Customer-specific photonics allocations, pipeline value and OpenLight economics are not disclosed; these are included within SoC growth, not a duplicate separate revenue branch.

- No future buyback execution, investment valuation gain or strategic-investment liquidation value is credited.

- The model uses constant normalized currency economics; management estimates JPY 5.3B annual operating sensitivity per JPY of USD/JPY movement.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] E FR FY2026 1Q | 2026-07-29 | https://www.advantest.com/document/en/investors/ir-library/result/E_FR_FY2026_1Q.pdf | Archived SHA-256: f66541e76d50da12969c7690b40a5fe2233011e52bab64156e6fae3a0f71d785

[2] E FR FY2025 FN | 2026-04-27 | https://www.advantest.com/document/en/investors/ir-library/result/E_FR_FY2025_FN.pdf | Archived SHA-256: d2d9966515d0da0586e6dafbff0b5d79a6c2a4ab4e09fca7d5d6ea2cc678f106

[3] JE BIZ 260729 slide | 2026-07-29 | https://www.advantest.com/document/en/investors/ir-library/result/JE_BIZ_260729_slide.pdf | Archived SHA-256: 7bca61d9ff7a17f3ee9521d02e9bfa9d133a0e7074f6a21f19b6cb4884499045

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